

The Claremont City Council held a meeting on Wednesday, May 11, 2017, in the Council Chambers of City Hall.

The meeting was called to order by Assistant Mayor Bergeron at 6:30 p.m.

Members of the Council present were:

Ward I Councilor Carolyn Towle
Ward II Councilor Scott Pope
At-Large Councilor Keith Raymond
Assistant Mayor Victor Bergeron
At-Large Councilor Allen Damren
At-Large Councilor Bruce Temple
Ward III Councilor Nicholas Koloski
At-Large Councilor John Simonds

Absent:

Mayor Charlene Lovett

Also present were:

Ryan McNutt, City Manager
Jane Taylor, City Solicitor
Mary Walter, Finance Director

AGENDA CHANGES

None

BUDGET

Mr. Bergeron reminded the public that this is a work session for Council and Staff. No public input will be allowed.

Mr. Bergeron read a letter from Mayor Lovett stating that during a joint Council/School Board meeting it was discussed to hold the line regarding taxes. She is concerned this budget does not contain funding for public transportation. She asked Council to put that money in, but to not increase the tax rate. Mr. Bergeron said Mayor Lovett's letter also asked to put money in for funding roads without increasing the tax rate.

Mr. McNutt read his budget letter to the Council.

- The Fiscal Year 2018 City of Claremont Operating Budget totals \$19,021,717
- Difficult to balance due to

- o approximately \$500,000 structural deficit
 - o further reductions in state aid
 - o \$318,355 debt service for Downtown TIFD,
 - o rising health care costs
- To balance the budget without major layoffs, the budget includes
 - o The elimination of one full-time position in the Library
 - o The use of one-time revenue
 - o Positions that will remain unfilled following retirement or resignation
- Number one problem we must address (short-term) is the decline in the number of police officers in Claremont.
 - o Collective bargaining agreement necessitated a tax rate increase of six cents, or 4/10th of 1 percent
- The long-term challenge is the high tax rate
- Firefighter and City Solicitor positions to remain vacant when those individuals retire
 - o Legal services will be handled by outside firm
 - o He thanked Jane Taylor for her years of service to the City
- \$901,355 from Fund Balance will be used to cover Downtown TIFD's debt service and repair of two culverts
- Regarding roads, \$50,000 remains from the road bond and will be used as part of capital investments including a full road reconstruction of Main Street from Leo's Market to Opera House Square (including new water, sewer and sidewalks)
- New sidewalks on Belding and Myrtle Streets as part of a Safe Routes to School Grant
- Replace water lines that contain lead
- Goal of approximately \$300,000 in net new tax base each year

Mr. McNutt talked about road repairs and that \$750,000 would be approximately \$1 on the tax rate. The City needs to be able to maintain roads. He said he can fully fund the roads, but people will have to accept increased tax rates.

Mr. McNutt continued with his comments:

- Personnel costs – 4 bargaining units and Merit Plan employees are not going to take zero increases forever
- Developed a code enforcement team to work with owners/investors
- Working to attract developers into Claremont
- Advocate to Concord that we need incentives to rehabilitate the old mill buildings
- 100s of jobs are available in Claremont right now (Canam, Costa, etc.) that creates demand for workforce housing. We are an affordable community outside the tax rate. We have new development sites. He sees a lot of potential for development. If we do a combination of these things, then in 3-5 years, Claremont will be the best city in NH. We need to be austere in current government expenses.
- He was able to find \$622,000 in cuts.
- His rationale for cutting the Library is that it is the easiest place for citizens to step up and support/volunteer time. He will volunteer his time on Saturdays, checking in books, etc. Regular citizens cannot do fire, police or public works jobs.

- He expects to find an equivalent level of cuts next year, however, not in the Library's budget
- Cuts will reduce expenses and buy the City time for economic development

Mr. McNutt made two recommendations to the Council 1) make a motion to pass the budget as is or 2) make a motion to pass this budget with one amendment: include Southwestern Community Service bus transportation service. He said he can find approximately \$20,000 without affecting the tax rate to save the bus service. Councilors did not make either of those motions.

Welfare

Department Request \$401,682.00 City Manager Proposed \$371,642.00

Suzanne Carr, Welfare Director, said she will do her best to run her department with the budget that is given to her.

There was concern about the cuts that were made by the City Manager and that Ms. Carr would come back to the Council at a later date for additional funding.

Mr. McNutt said he and Ms. Carr are talking with colleagues across the state to create policies for individuals to use programs that are available to them and to use City Welfare as a last resort/safety net, as it is intended.

Ms. Carr said there are two full-time employees in the department. Regarding workfare, Ms. Carr said the majority of clients are employed/underemployed or disabled and can't work.

Mr. Koloski is concerned about closing down apartment buildings that are not code compliant which will increase the number of Welfare clients. Mr. McNutt said when the City closed the apartment building, only five people needed help at a cost of \$2,200.

A motion was made by Mr. Temple and seconded by Mr. Simonds to tentatively approve the Welfare budget for \$371,642.00.

Voice vote: motion carried 8-0.

Assessing

Department Request \$194,946.00 City Manager Proposed \$193,831.00

Marlene Jordan, Assessor, said that she is a part of the City Manager's economic development team and she will do what she can to find more assessed value in the City. Her department will review all exempt properties and will try to find ways to increase the Grand List. There are two full-time employees in her department.

Ms. Jordan said the equalization ratio for 2016 is 100.8%. Valuations are on a slow rise. Sales are coming in at, or slightly above, assessed value.

A motion was made by Mr. Raymond and seconded by Mr. Damren to tentatively approve the Assessing budget for \$193,831.00.

Voice vote: motion carried 8-0.

Mr. Bergeron said he met with a real estate agent and for some people, it's not a problem getting the mortgage, but it's the tax rate that is a problem.

Mr. Raymond disagreed and said that the overall combination of mortgage plus taxes is still lower than many places.

Police

Department Request \$2,787,423.00 City Manager Proposed \$2,852,948.00

Police Chief Mark Chase said he is happy with the budget and thinks he can operate with it. When the department gets fully staffed, they are going to be a lot better off than now. The union contract was settled last night.

Mr. McNutt said the original goal of this budget was to not increase the tax rate. When he put together the code enforcement team, he found some of the symptoms and effects of the challenges are the criminal activity in the community. The Police Department is a part of the team. He wants the Police Department to do more for our community such as community policing, meet citizens and interacting in a positive way and that requires an expense.

Chief Chase said some officers want to hand out positive tickets (i.e. thanks for wearing helmets) and he wants to have officers walking on Pleasant Street. There are supposed to be 25 officers; there are 3 part-time officers for parking enforcement and crossing guards. All employed, they have 23; there are 2 openings, 2 in the Academy, 2 going to the Academy, and 2 just out of the Academy who are not ready to be on their own. One officer is retiring in a month and 1 will retire in January. One officer is on disability leave.

There was a discussion about the COPS (Community Oriented Policing Services) grant and Chief Chase said at the end of the grant we are expected to keep the person for an additional year. He will look into the next COPS grant.

Mr. Koloski was concerned about Animal Control being reduced to \$3,000. Chief Chase said that will cut into the services that are provided. Mr. Koloski asked to restore that line item to the \$6,300 the Department requested.

There was a discussion about adding a K-9 unit. Chief Chase said he is working on that and will want to use drug money for it. His goal is to have a search and drug K-9.

A motion was made by Mr. Damren and seconded by Mr. Koloski to add \$3,000 to the Police budget as proposed by the City Manager for a total of \$2,855,948.00.

Roll call vote: motion carried 5-3 with Ms. Towle, Mr. Bergeron and Mr. Temple voting no.

A motion was made by Mr. Damren and seconded by Mr. Koloski to tentatively approve the Police budget for \$2,855,948.00.

Roll call vote: motion carried 5-3 with Ms. Towle, Mr. Bergeron and Mr. Temple voting no.

Communications 911

Department Request \$504,365.00 City Manager Proposed \$497,301.00

Chief Chase said there are 6 full-time, 1 part-time and 1 supervisor/records clerk.

Mr. McNutt talked about regionalizing dispatching and that it could save money.

Chief Chase said that regionalization had been tried without success; he will try again.

Mr. Raymond suggested using the JSL building and agreed that regionalization would likely result in savings.

A motion was made by Mr. Bergeron and seconded by Mr. Damren to tentatively approve the Communications 911 budget for \$497,301.00.

Voice vote: motion carried 8-0.

Library

Department Request \$518,188.00 City Manager Proposed \$341,987.00

Mike Grace, Library Director, disagreed with the City Manager's rationale on cutting the Library and also that it is the easiest place for citizens to volunteer. This budget has 2 full-time and 6 part-time employees.

Mr. McNutt said the retiring person is the Children's Librarian and that position will be filled. There will be one other person on staff, so one current person will be laid off.

Mr. Simonds said if you kept the position at \$78,860 that would be 12 cents on a \$15.04 tax rate.

Mr. Koloski is very concerned about the cuts to the Library. He doesn't agree with the rationale regarding volunteers; other groups are scrambling to find volunteers. Most of the calls he has received regarding the budget are about the Library.

Mr. McNutt said he would rather not make cuts to the Library, but we are in an extraordinary position. Having the highest tax rate is an inhibitor to economic growth. We can have what we want, but it will cost money to do it. He doesn't intend for the Library to take a hit next year. He believes the Library will continue to offer great services with this budget. He suggested that the people who are passionate about the Library can help and he acknowledged that volunteers will require training.

Mr. Damren is concerned the five-year road plan from Public Works is not going to be addressed in a timely fashion. He is concerned about the Library and that he will vote in favor of tentatively approving the Library budget with the understanding that this is early in the budget process and Council should keep an eye on rest of the budget to see if there is a way to help offset this particular budget.

Mr. Koloski asked which capital projects are not being done. Mr. Grace said the proposed carpet replacement. He said Primex inspected the carpet a couple of years ago, but didn't find any trip hazards.

Mr. McNutt said other Libraries in NH cost an average of 33 cents per thousand. With his proposal, our Library will cost 49 cents per thousand.

Mr. Grace said the Library is open 46 hours a week now and may be cut to 40 hours/week.

Mr. Raymond didn't think cutting two people is the way to go, however he was okay with cutting one position.

Ms. Towle was also concerned about losing two people.

Mr. Simonds supports the Library and agreed with Mr. Raymond he would rather see one position cut instead of two.

A motion was made by Mr. Simonds and seconded by Mr. Raymond to tentatively approve the Library budget to include \$78,860 for a total of \$420,847.

A motion was made by Mr. Temple and seconded by Mr. Damren to table the tentative agreement for the Library budget until the entire budget has been discussed.

Roll call vote to table: motion carried 7-1, with Mr. Koloski voting no.

City Administration (Finance)

Department Request \$1,025,791.00 City Manager Proposed \$982,655.00

Ms. Walter said she has 9 full-time employees and no part-time employees. A temporary former Collections clerk was coming in, when needed, but is not currently available. Health insurance was a big hit. New employees will pay more toward their health insurance.

Mr. McNutt said next month he will request the Council reduce his insurance which will save money.

There was a discussion about the accounting system being pretty old. Ms. Walter said we have saved 2/3 of the money needed for an upgrade. When we do get the upgrade, we may have to pay someone to do the conversions.

Mr. Koloski asked if \$78,600 can be found in this budget. Ms. Walter said we have been level funding for quite a few years, so she doesn't see it.

A motion was made by Mr. Damren and seconded by Ms. Towle to tentatively approve the City Administration (Finance) budget for \$982,655.00.

Voice vote: motion carried 8-0.

Municipal Complex (Maintenance)

Department Request \$440,749.00 City Manager Proposed \$381,338.00

Ms. Walter said this is maintenance of City Hall. There is one full-time and two part-time (one 20 hours/week and the other 28 hours/week) employees. This covers City Hall, the Opera House, court house and all the floors of the Police Department. This is down \$45,000 from last year. Part of the capital improvements plan is to change where the Opera House box office was into an ADA bathroom. The Opera House box office has moved into a portion of the Assessing office. The current bathroom will be made into a staff bathroom. There is a grant to assess all of City Hall.

Mr. McNutt said he sent Councilors a copy of the CIP that was approved by the Planning Board and he sent Councilors a copy of his version. Complete repair of City Hall would cost about \$1.5 million. Every year that these items are not addressed will add to when we will not be able to use the building. This building is one of the most unique buildings in Claremont. Work is needed to address ergonomics and accessibility in this building.

Ms. Walter said the electricity rate has dropped and fuel oil is down \$20,000. She might be able to find some money, but not near \$78,000.

A motion was made by Mr. Raymond and seconded by Mr. Simonds to tentatively approve the Municipal Complex (Maintenance) budget for \$381,338.00.

Voice vote: motion carried 8-0.

CONSULTATION WITH LEGAL COUNSEL

None

ADJOURNMENT

At 9:16 p.m., a motion was made by Mr. Damren and seconded by Mr. Pope to adjourn.

Voice vote: motion carried 8-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council